

Standard & Poor's 500 change. I found the results shown in the table by using the dates of the breakout to ultimate high or low of the rounding top and applied that to the S&P. You might say that the index helped or hurt the performance of the rounding top, depending on the breakout direction. I know from analysis of my own trades that the market trend helps when the market moves in the same direction as the stock (if I buy, I hope the market rises, too) and it hurts performance when the market goes against the stock.

Days to ultimate high or low. The rise in bull markets (55% in 288 days) takes longer to reach the ultimate high than the decline in bear markets (21% in 27 days) takes to reach the ultimate low. The decline must be steeper than the rise. Indeed, the speed of the bear market decline is not one and not two but 4.1 times as fast as the rise in bull markets. If the bear market were a vacuum cleaner, you could say it really sucks (price lower).

How many change trend? This is a measure of many rounding tops seeing price move more than 20% after the breakout. I consider values above 50% for upward breakouts to be wonderful. For downward breakouts, the average is a more modest 28% in bull markets and 49% in bear markets. In other words, the bull market numbers are better than average, but the bear market numbers fall short.

What all of this means is that the higher the number shown in the table, the better your chance of making money.

[Table 56.3](#) shows failure rates. The lowest failure rates associate with the market trend: trading long in bull markets and short in bear markets. Countertrend trades have more risk.

For example, 18% of rounding tops in bull markets with upward breakouts fail to see price rise more than 10%, but in bear markets, 37% fail to see price rise as far. Half of the patterns (53%) in bull markets fail to see price rise more than 35% compared to a failure rate of 79% for bear markets with upward breakouts.

You can see how the failure rates start low and climb quickly for small changes in the maximum price rise or decline. For example, rounding tops in bear markets with downward breakouts show failures of 12%, 28%, and 44% for declines of 5%, 10%, and 15%, respectively.